



CENTUM

tangible wealth



CENTUM UNMASKED

Analysts' Workshop

Friday 3 September, 2010

Workshop Schedule

Agenda Item	Time	Presenter
Session 1		
Welcome & Introductions	9.15 - 9.30	Job Muriuki
Business Overview	9.30 - 10.00	James Mworia
<i>Break</i>	<i>10.00 - 10.15</i>	
Session 2		
Breaking down the business		
• Private Equity	10.15 - 10.45	Kenneth Kamau
• Quoted Private Equity	10.45 - 11.00	Pius Muchiri
• Real Estate & Infrastructure	11.00 - 11.15	Lawrence Riungu
<i>Break</i>	<i>11.15 - 11.30</i>	
Session 3		
Analysing our performance	11.30 - 12.00	James Mworia
Q&A	12.00 - 12.15	James Mworia
De-brief & Close	12.15 - 12.30	Job Muriuki

Objectives

- 1 Meet the Centum Team
- 2 Establish clarity on the business:
 - What we do
 - How we do it
 - Our performance
- 3 Create alignment on how to value Centum
- 4 Understand Analysts' needs and concerns



Deliver consistent communication to the market

Presentation Overview

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General Team



James Mworio
Chief Executive Officer

- Over 10 years investment management experience
- Appointed CEO in October 2008, previously Head of Investments at TransCentury Ltd and Centum
- Has led and closed multiple transactions across Sub-Saharan Africa
- Holds LLB from the University of Nairobi, member of CFA Institute, ICPAK, CIMA and LSK



Teresia Muthoni
Risk Officer

- Over 3 years experience in Risk Management
- Specialises in Portfolio and Operational Risk Management
- Holds a Bsc. Actuarial Degree from the University of Nairobi, Diploma in Actuarial Techniques from the Institute of Actuaries (UK), currently pursuing an MBA from Strathmore Business School



Naomi Nyamongo
Company Secretary & Legal Officer

- Over 5 years experience in legal advisory and financial reporting
- Previously the Finance Officer at Centum
- Holds an LL.B from the University of Nairobi, member of ICPSK and LSK, currently pursuing an MBA from Strathmore Business School

Private Equity Team



David Owino

Portfolio Manager - PE

- Over 10 years investment management experience
- Specialist in operational excellence
- Holds BSc Finance & Accounting from USIU, currently pursuing MBA at Strathmore Business School



Kenneth Kamau

Investment Officer -PE

- Over 3 years investment management experience
- Specialises in Corporate and Project Financing
- Holds Bcom Accounting degree from Catholic University EA, CPAK finalist, completed CFA level III



Job Muriuki

Investment Officer - PE

- Over 3 years international business experience in Management Consulting specialising in Value Based Management and business strategy development
- Holds MEng Environmental Engineering & Business Management and BA Mechanical Engineering from the University of Cambridge, Level II candidate in the CFA program

Quoted Private Equity Team



Pius Muchiri

Portfolio Manager - QPE

- Over 3 years investment management experience
- Holds Bcom degree from the University of Nairobi, CPAK Finalist and has completed CFA level II



Kevin Kamemba

Analyst - QPE

- 2 years experience in the investment industry
- Holds a BA degree from the University of Nairobi, CPA Finalist, Level II candidate in the CFA program



Andrew Gachanja

Analyst - QPE

- Over 3 years international experience as an Investment Banking analyst
- Holds a Bachelor of Arts degree in English and Economics from Bowdoin College

Real Estate & Infrastructure Team



Lawrence Riungu

Portfolio Manager - RE&I

- Over 8 years international business experience
- Former portfolio manager at Constellation Energy Commodity Group and investment banker at Goldman Sachs and JP Morgan
- Holds MBA General Management from Harvard Business School, BA Computer Science and Economics from Vassar College



Kenneth Kamau

Investment Officer - RE&I

- Over 3 years investment management experience
- Specialises in Corporate and Project Financing
- Holds Bcom Accounting degree from Catholic University EA, CPAK finalist, completed CFA level III

Finance Team



Risper Mukoto

Finance & HR Manager

- Over 5 years senior management experience
- Holds MBA from USIU, BA in Business Management from Moi University, member of ACCA and ICPAK



David Mucheru

Finance Officer

- Over 4 years international experience in auditing and financial management.
- Holds Bcom Accounting degree from the University of Nairobi, CPA K finalist, CFA East Africa Graduate (IIP-EA)



Sylvia Ngare

Accounts Officer

- Over 2 years Finance and Accounting experience
- Completed Bcom Accounting degree from the University of Nairobi, CPAK finalist

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Business Overview

Our Business

- Centum is a leading East African investment company that has been listed on the Nairobi Stock Exchange since its founding in 1967
- We are an investment channel providing investors with access to a portfolio of inaccessible, quality, diversified investments
- Our key objective is to consistently generate a return on capital that is above market returns through investments in Private Equity, Quoted Private Equity and Real Estate & Infrastructure

Our Vision

- To create real tangible wealth by providing the channel through which investors access and build extraordinary enterprises in Africa

Our Mission

- To be Africa's foremost investment channel

Our History

“Where we have come from”



1. ICDC Investment Company

2. Industrial & Commercial Development Corporation

Our Track Record

“Consistently outperformed the market”

2005 - 2010 Historical Performance

	Centum ¹	NSE ²	Outperformance
2005	57%	49%	8%
2006	32%	8%	24%
2007	35%	21%	14%
2008	-3%	-5%	2%
2009	-30%	-40%	10%
2010	56%	43%	13%
CAGR	20%	8%	12%

Comments

- Our track-record spans over 40 years, during which we have consistently grown our seed capital of \$26,000 to over \$140M
- Over the past 5 years, our portfolio has consistently outperformed the NSE Index by an average of 12 percentage points

1. PE portfolio companies valued at Fair Value
 2. NSE Index readjusted to include dividend yield

Corporate Responsibility

“Why we are the preferred partner”

1 Investors



- We are in business of creating real tangible wealth by generating consistent market beating returns, but not at any cost
- We have a track record of investing responsibly for over forty years

2 Co-Investors



- Our investment decisions are influenced and shaped by more than just the numbers - we are committed to maintaining high ethical and professional standards in all we do
- As a member of the NSE we are also under the public spotlight and are expected to meet the world's highest standards in terms of corporate governance, reporting and transparency

3 Investees



- Over the years, we have leveraged our unique investment approach to help build and grow our portfolio companies to become today's market leaders
- As an institutional investor, our portfolio companies receive backing from Centum and over 37,000 shareholders

Our Strategic Outlook

“Where we are going”

- 1**
BRAND



 - Position Centum as **Africa’s foremost** investment channel
- 2**
FOCUS



 - Maintain focus through **3 distinct** business lines
- 3**
GROWTH



 - Grow assets under management to **KES 30B** by 2014 - includes third party fund management
- 4**
DIVERSI -
FICATION



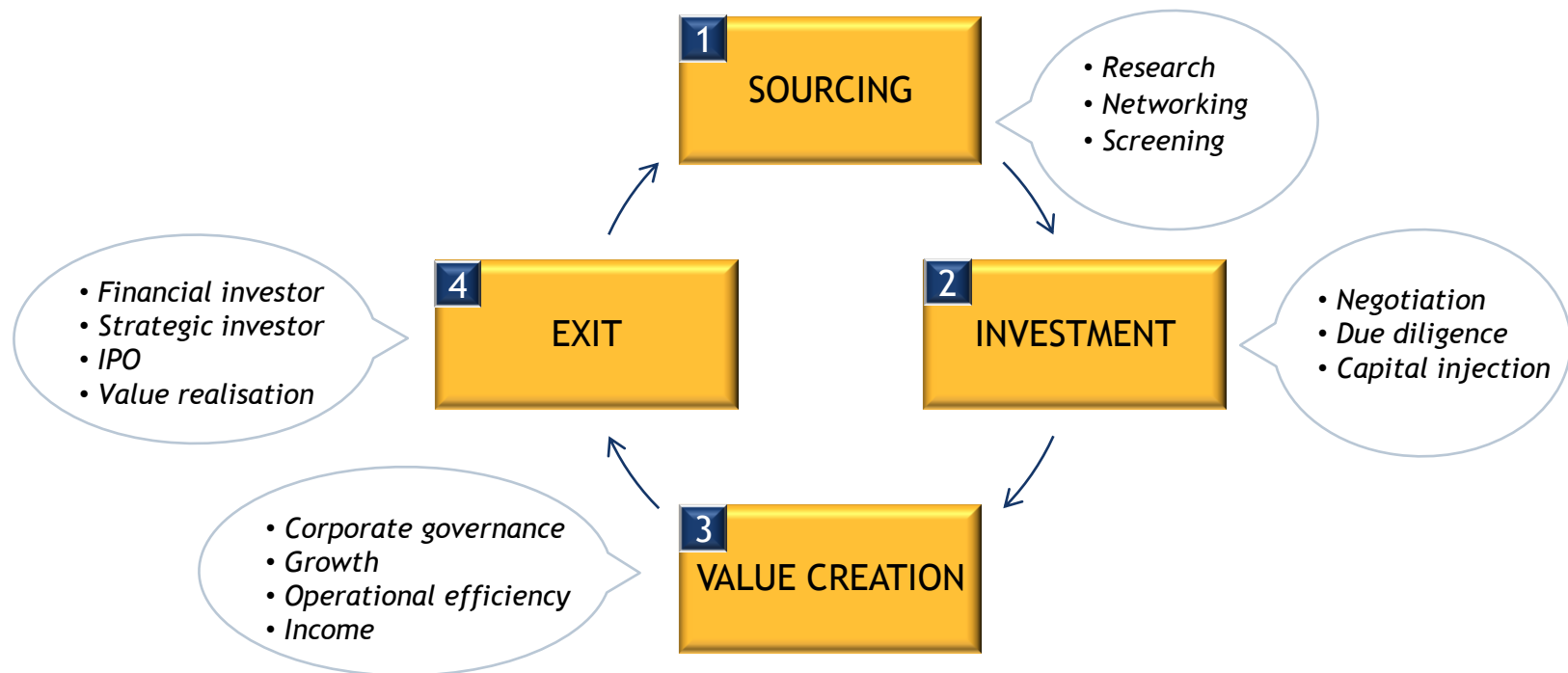
 - Increase geographical diversification through **pan African** investments - target 50% of the portfolio to be outside Kenya by 2014
- 5**
PERFORMANCE



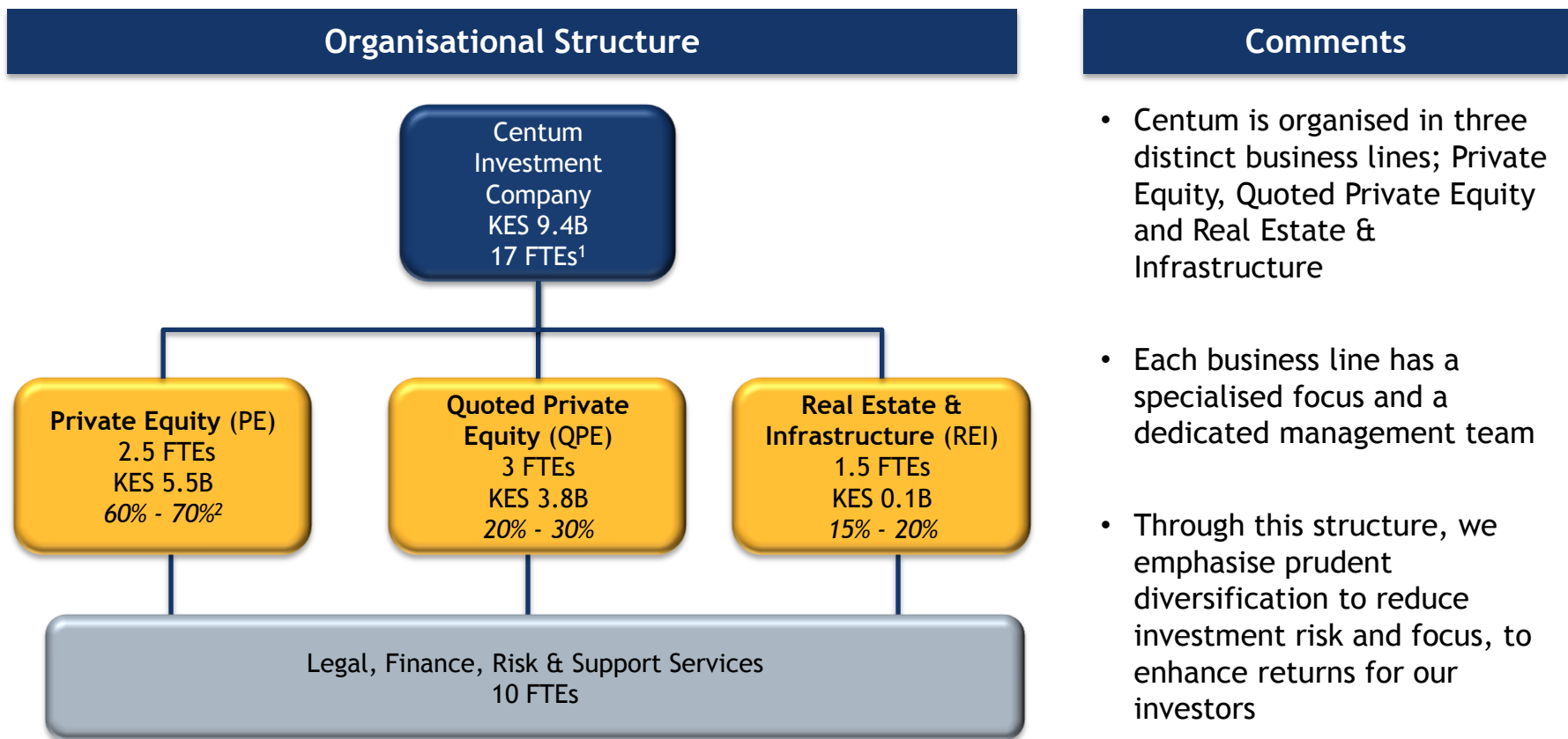
 - Active portfolio management to ensure consistent **market beating** returns - target portfolio returns in excess of 25%

Our Investment Approach

“How we make money”



Our Organisational Structure



1. Full Time Employees
2. Percentages indicate target portfolio allocation

How to Value Centum

Value Buckets	Valuation Methodology	Information Source
1 QPE 	• Observable market price	• Use Annual Report as starting base • Market for quoted shares
2 REI 	• Assessed market value	• Professional valuers • Public disclosure
3 PE 	• Price of recent transaction • Earnings multiple • Net Asset Value	• Annual Report and Investor Briefings • www.centum.co.ke
4 Debt 	• Book value of debt	• Annual Report

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Private Equity Overview

Business Overview

- The private equity business line focuses on acquiring controlling and significant minority positions in private companies across Sub-Saharan Africa
- Our deal size is KES 160M - KES 1.6B with a focus on two key transactions:
 - Growth / developmental capital
 - Buy-Outs
- While we do not seek to operate investees directly, we create value by influencing strategic direction through active board participation and providing capital to drive sustainable profitable growth
- Our target return is 30% - 35% year-on-year

Investment Approach

- Centum will focus on sectors with the following broad characteristics:
 - Large and growing domestic and regional market that is targeted principally to households and private businesses;
 - Basic goods and services whose demand will increase as purchasing power increases;
 - Products and services with limited scope for import substitution;
 - Sustainable competitive advantage, with relatively high barriers to entry and not replicable by pure addition of capital
 - Sectors with pricing power that will allow price increases with inflation
 - Relative industry certainty with a stable regulatory environment

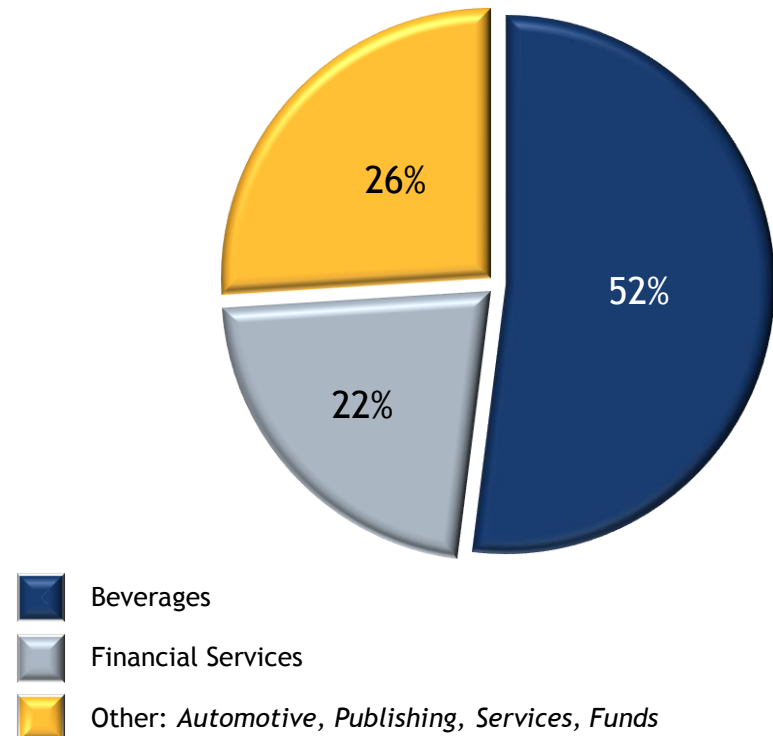
Private Equity Portfolio Overview (1)

Portfolio Companies	Investment Criteria					
	Local Demand	Linked to GDP	Low Import Substitution	Competitive Advantage	Pricing Power	Regulatory Stability
 KENYA WINE AGENCIES LTD	✓	✓		✓	✓	✓
	✓	✓		✓	✓	✓
	✓	✓	✓	✓	✓	
	✓	✓	✓	✓	✓	✓
	✓	✓	✓	✓	✓	✓
	✓	✓	✓	✓	✓	✓
 Better. Simple. Life.	✓	✓	✓	✓	✓	✓

Private Equity Portfolio Overview (2)

Portfolio Companies	% Holding	% PE Portfolio	% Total Portfolio
Nairobi Bottlers	27.6%	33.3%	19.5%
Mt. Kenya Bottlers	27.8%	6.8%	4.0%
Rift Valley Bottlers	44.0%	6.5%	3.8%
Kisii Bottlers	26.4%	1.8%	1.1%
KWAL Holdings	26.7%	3.3%	1.9%
UAP Holdings	24.2%	15.0%	8.8%
Aon Minet	21.5%	6.95	4.0%
K-Rep Bank	1.7%	0.3%	0.2%
CDSC Fund	10.0%	0.1%	0.1%
General Motors	17.8%	18.3%	10.7%
Longhorn Pub.	35.0%	3.7%	2.2%
NAS Air. Services	9.1%	3.0%	1.8%
Helios II	1.7%	1.1%	0.4%

Portfolio Sector Exposure

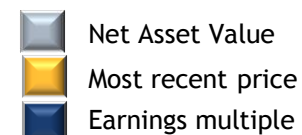
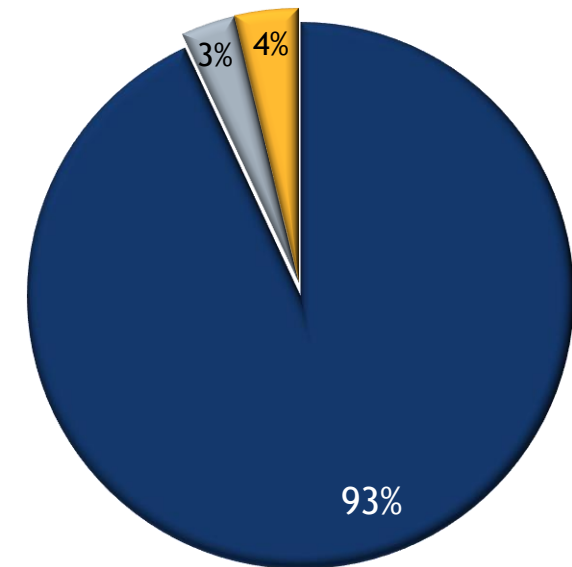


PE valuation methodologies

Valuation basis

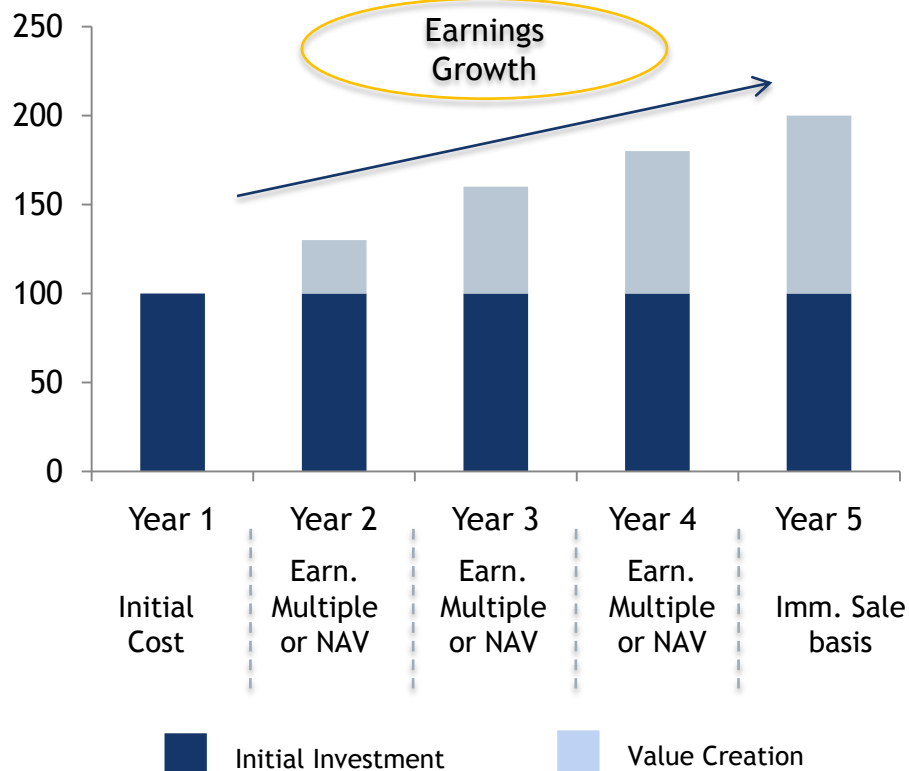
- 1 Price of a recent transaction;
- 2 Earnings multiple;
- 3 Net asset value;

Valuation basis proportions



Private Equity Portfolio Valuation

Investment Value



Fair Valuation

EARNINGS

X

COMPARABLE
MULTIPLES

FAIR VALUATION

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Quoted Private Equity Overview

Business Overview

- The Quoted Private Equity (QPE) business line acquires influential or controlling equity stakes in quoted companies within Sub-Saharan Africa
- We leverage our expertise in Private Equity to manage these investments and create value
- In addition to QPE opportunities, we invest in other marketable securities to help manage overall company liquidity
- Our target deal size is KES 160M - KES 1.6B with a target return of 25% year-on-year



Investment Approach

- Focus on small & mid cap companies:
 - With value creation opportunities
 - With limited research coverage
 - With limited liquidity
- Geographical expansion to other attractive Sub-Saharan Africa markets:
 - Ability to channel capital to markets that promise the best possible return for our shareholders
 - Key target markets; Kenya, Nigeria, Ghana, Uganda, Tanzania
- Scaling up the size of our transactions:
 - To generate a meaningful return to our shareholders,
 - Intend to build and manage third party funds alongside our own funds.

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Real Estate & Infrastructure Overview

Business Overview

- In Real Estate, we look to purchase medium to large sized parcels of land (around 100 to 500 acres) in attractive locations which are suitable for master-planning.
- Our strategy is to lead the way in developing new, fully serviced neighborhoods with an aim of improving general standards of living
- Where returns are attractive, we also invest in new constructions usually within city centers or urban settings where utilities and services are already present;
- Our Infrastructure focus is primarily on independent power projects (IPPs)
- Our target return is 25% year-on-year



Investment Rationale

- Our investment approach is informed by the following trends:
 - New infrastructure projects opening up new areas for development;
 - Shortage of serviced land impeding the formation of new neighborhoods;
 - New household formation driven by a young and rapidly growing middle class;
 - Emerging trend towards integrated developments catering to lifestyle needs ;
 - Sustainability of home values in controlled developments;
 - Growing importance of PPPs to address resource constraints within national governments and local authorities;

RE&I Co-Investment Opportunities

Deal Description	Location	Co-Investment Opportunities
1 Integrated development on 100-acre portion of land in the Runda area	Nairobi, Kenya	- Secondary developers; - Shareholding in project company;
2 Commercial office building on 0.6 acre plot in Nairobi's CBD along Uhuru Highway and facing Central Park	Nairobi, Kenya	- Sectional purchases; - Shareholding in project company; - Mezzanine funding;
3 Integrated development on 90-acre portion of land located close to Entebbe airport and Kampala	Garuga Peninsula, Entebbe, Uganda	- Secondary developers - Shareholding in project company;

Sample Projects Designed by Our Urban Planning Team

V&A Waterfront, Capetown



Blueberry Hill, Capetown



Nelson Mandela Square and Civic Precinct, Sandton



Cape Winelands, Capetown

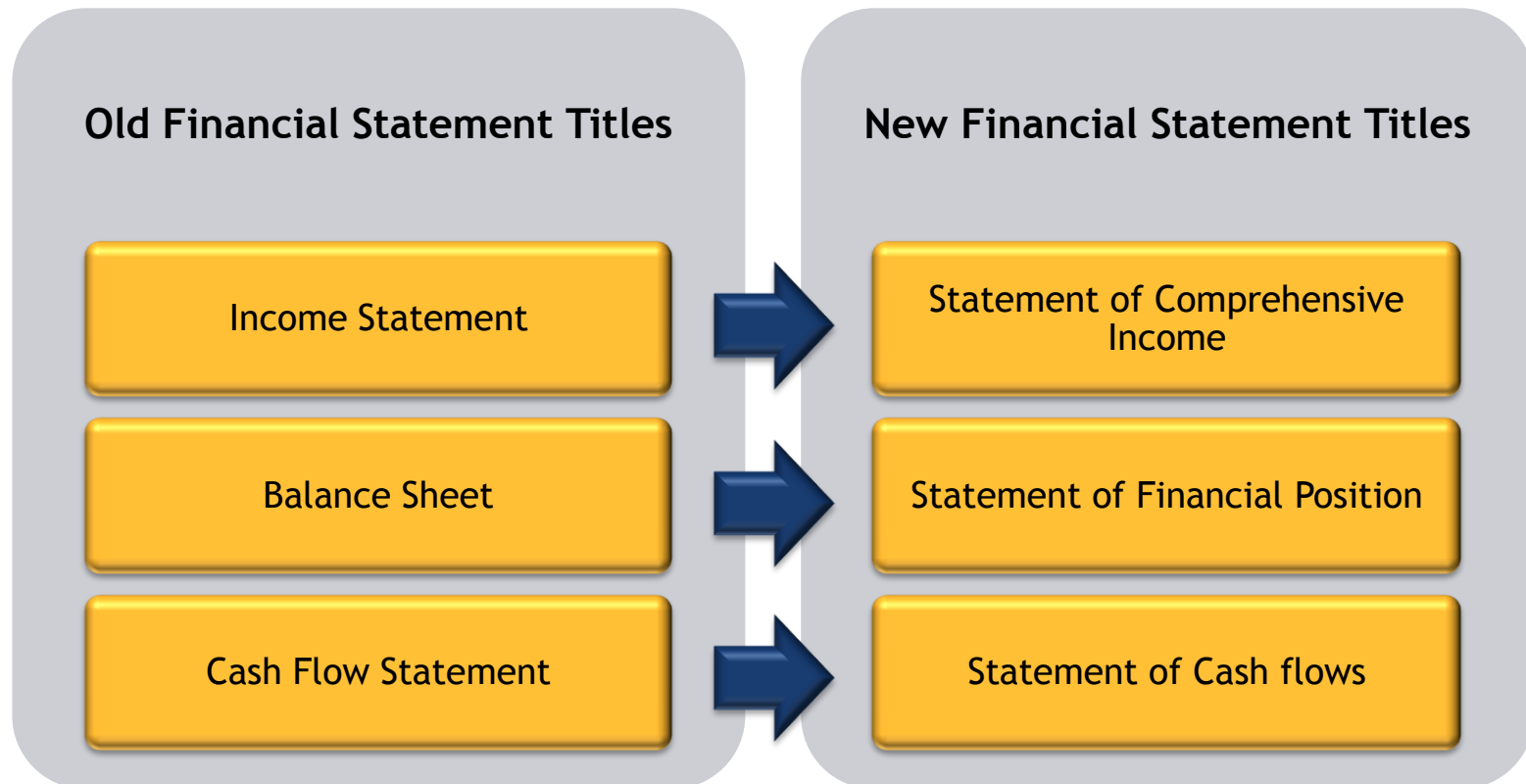


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Measuring Centum's Performance

Changes in Presentation of Performance



Measuring Centum's Performance

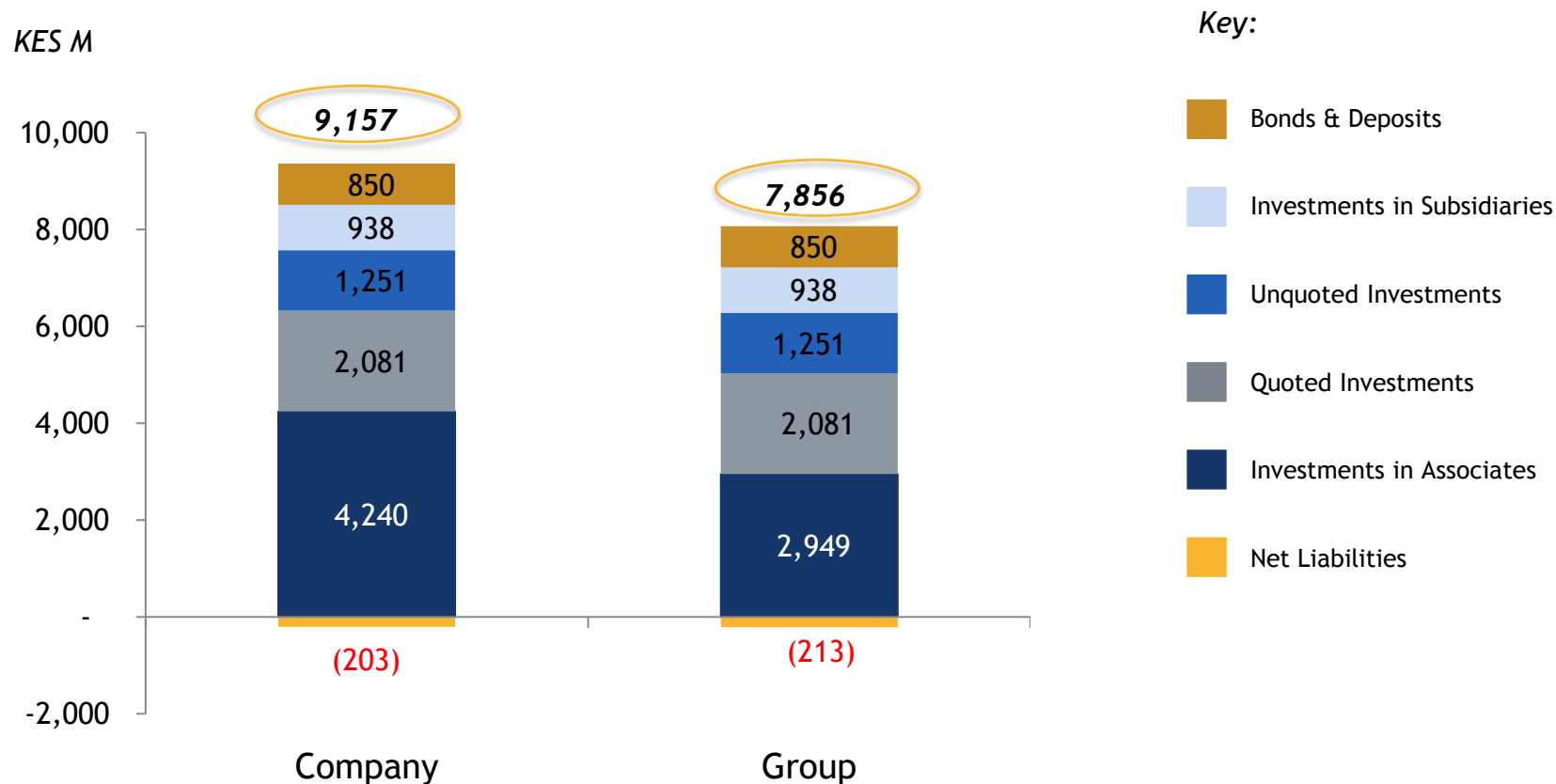
Company vs. Group Financials

Difference is in the treatment of investments in associates

	Company	Group
Income Statement		
Dividend income from Associates	✓	✗
Share of Associate profits	✗	✓
Other Comprehensive Income		
Fair value movement in Associates	✓	✗
Share of Associate equity movement	✗	✓
Statement of financial position		
Associates held at fair value	✓	✗
Associates held at book value (NAV)	✗	✓

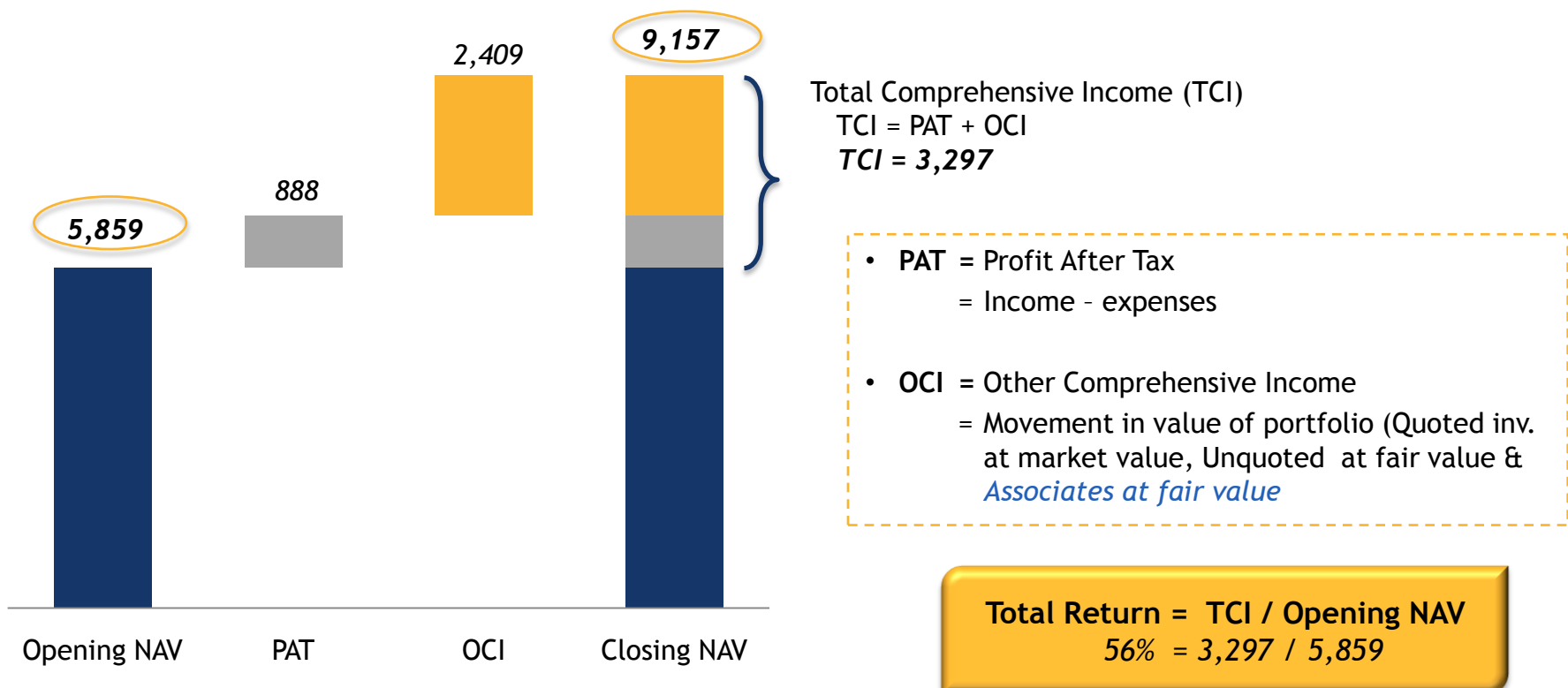
Measuring Centum's Performance

Company vs. Group NAV - “Understanding the difference”



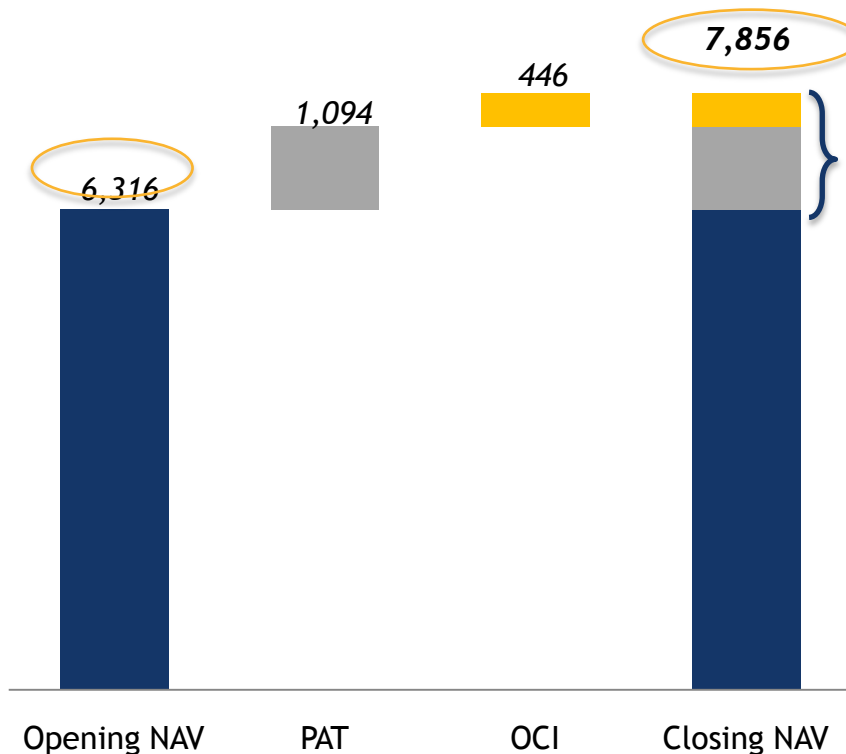
Measuring Centum's Performance

Company Financials - "Calculating total return"



Measuring Centum's Performance

Group Financials - "Alternative reporting"



Total Comprehensive Income (TCI)

$TCI = PAT + OCI$

$TCI = 1,540$

- NAV = Net Asset Value
- PAT = Profit After Tax
= Income - expenses + *Share of associate Profits*
- OCI = Other Comprehensive Income
= Movement in value of portfolio (Quoted inv. at market value, Unquoted at fair value & *Associates at NAV*)

Measuring Centum's Performance

Statement of Comprehensive Income

KES M	Company	Adjustment	Group
Investment Income	1,121		1,121
<i>Dividend income from Associates</i>		(150)	(150)
<i>Share of Associate profits</i>		290	290
Costs	(246)		(246)
Profit After Tax	888		1,027
Other comprehensive income	2,409		2,409
<i>Associate fair value movement</i>		(1,867)	(1,867)
<i>Share of associate equity movement</i>		(30)	(30)
Total Comprehensive Income	3,297	1,757	1,540

Measuring Centum's Performance

Statement of Financial Position

KES M	Company	Adjustment	Group
Portfolio Value	9,360		9,360
<i>Share of Associates book value</i>		2,949	2,949
<i>Fair Value of Associates</i>		(4,240)	(4,240)
Net liabilities	(203)		(203)
Dividend receivable from Associates		(10)	(10)
Net Asset Value	9,157	(1,301)	7,856

Measuring Centum's Performance

Key Performance Metrics

KES M	2010
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Return (Statement of comprehensive income)

1	Total Return (KES M)	3,297	<i>Total Comprehensive Income (TCI)</i>
2	Return on Opening Equity	56.3%	<i>TCI divided by Opening NAV</i>
3	Cost to portfolio ratio	2.1%	<i>Costs divided by Closing Portfolio Value</i>

Statement of Financial Position

4	Portfolio Value	9,360	<i>Equity investments + deposits</i>
5	Net Asset Value (NAV)	9,157	<i>Portfolio value - net liabilities</i>
6	NAV per Share (Kshs.)	16.65	<i>NAV divided by Centum's issued share</i>

Measuring Centum's Performance

Business Line Performance

	PE	QPE	RE&I	Total
Investment activity (KES M)				
Investments	80	1,141	-	1,221
Realization proceeds	265	1,083	-	1,348
Return Analysis				
Total Return	2,168	1,141	(11)	3,297
<i>Return on Opening Equity</i>	<i>61.1%</i>	<i>50.1%</i>	<i>(32%)</i>	<i>56.3%</i>
Balance sheet				
Portfolio Value	5,491	3,833	36	9,360
Net Asset Value (NAV)	5,372	3,749	36	9,157
NAV per Share				16.65

Q & A

THANK YOU